

Senate nearly a toss-up

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Beijing deepens retaliation while keeping summit door open

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Fed's hawkish convergence makes a September hike possible

The Senate race is now nearly a coin flip. Recent polling in key states has tightened the race to control the Senate, giving Democrats a boost heading into the fall. We now see the race as a near coin flip in which Republicans have a slight edge (55% odds, down from 60%) but are at risk of losing further ground if the macro political environment turns more negative.

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Democrats need to hold Georgia, Minnesota, New Hampshire, and Michigan, and flip four of North Carolina, Maine, Texas, Ohio, Alaska, and Iowa to flip the chamber. In every Republican-held seat except Iowa, the bulk of recent polling has favored Democrats.

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We are closely watching several signposts that would give Democrats an advantage, including President Donald Trump's approval rating, the generic congressional ballot, polling in state races, Republicans' financial advantage, and Democrats' ability to unify after divisive primaries.

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Michigan is the key downside risk for Democrats. Abdul El-Sayed's narrow victory in the primary this week leaves open questions about his ability to unify the state's diverse Democratic electorate, and it will be difficult for a candidate as progressive as he is to appeal to moderates.

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For more, please see [The Senate race is now nearly a coin flip](#) , 5 August 2026.

De-escalation with Iran is now likely as US leans toward temporary fix to open strait. Our new basecase is de-escalation in the Middle East (60%, up from 25%) as the space for the US to escalate its bombing

campaign shrinks.

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If Trump signs off the US will opt for a temporary fix that opens the Strait of Hormuz, even if doing so would include a more permanent role for Iran in its management. The current proposal for joint Iran-Oman management is an interim deal, and Iran will not allow a full reopening of the strait before the US lifts its blockade.

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This arrangement will be unsteady, as the US will resist making additional concessions and Iran will push maximalist demands, suggesting an elevated risk of another flare-up that closes the strait by year's end.

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For more, please see De-escalation likely as US leans toward temporary fix to open strait , 4 August 2026.

Beijing deepens retaliation while keeping summit door open. In its broadest trade retaliation since the October 2025 truce, China sanctioned US compliance and audit firms that enforce the Uyghur Forced Labor Prevention Act (UFLPA), a precedent with significant implications for US businesses operating in China.

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By sanctioning UFLPA compliance and audit enablers and tightening dual-use export controls on drones, Beijing is raising enforcement costs for US firms while keeping measures reversible ahead of bilateral talks.

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President Xi Jinping's visit to the US is still on track. However, possible actions by the Trump administration to curb use of Chinese AI models or restrict cloud chip access will determine the durability of the truce and whether the summit takes place as planned.

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For more, please see Beijing deepens retaliation while keeping summit door open , 5 August 2026.

Fed's hawkish convergence makes a September hike possible. We have heard from most of the Federal Open Markets Committee since last week's hold on rates, though not from Fed chair Kevin Warsh directly, and the common language on inflation risk extends well beyond the dissenters. Absent soft data ahead of the 16 September meeting, statements and data are consistent with a rate hike based on historical patterns (the market assigns a 60% probability).

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Warsh is repairing credibility after last week's press conference, but not changing course. Today's FT piece, clearly sourced to his camp, concedes a poor press conference while insisting he leads the committee rather than follows it, and previews a major policy statement at Jackson Hole this month.

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Treasury, in the meantime, is piling additional pressure on the Fed to ease credit. Fixed income concerns, driven largely by Japan and heavy private borrowing, have Bessent pressing the Fed to expand a little-known facility to fund Japanese intervention. That is an odd expansion of the Fed's footprint in normal times, and Warsh cannot decide that on his own (he will need either vice chair Philip Jefferson or New York Fed President John Williams on board to deliver it).

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September will bring volatility to the market. A potential hike, the Silicon Valley Bank reassessment, and the task force rollout land together in coming months. Trump is calling Warsh at a frequency unseen since Nixon. If he dislikes September's outcome, who he blames is the tell. Renewed White House-Fed conflict is a live volatility risk for the fall.

Quote of the Day

"Our candidates are not all the same. There's different backgrounds. They're from different states. But they have one shared mission — winning the Senate and delivering for working families. And so we feel we're really on a strong foot." - Sen. Minority Leader Chuck Schumer (D-NY) speaking to Punchbowl News about Democratic chances to take the Senate; while Schumer's leadership has faced criticism, especially from progressives, his success in recruiting strong Senate candidates this cycle will be a strong factor in his defense should he face a leadership contest.

On the Radar

27 July – 28 August: House on recess

10 August – 11 September: Senate on recess

19 August: Section 338 tariffs on Canada go into effect

3 November: National midterm elections

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